Alexandria Mineral Oils Company S.A.E.

EGX: AMOC · Egyptian Exchange · EGP · Valuation study as of 6 August 2026, issued 8 August 2026

THE CLAIM, STATED EXACTLY. Fair value EGP 5.95 a share against a market price of EGP 9.10 — fair value sits 34.6% below the price, equivalently the price stands 52.8% above fair value. The weighted range is EGP 4.09 to 8.52; the price is outside it.

WHAT WOULD CHANGE OUR MIND. Give back every contested judgement in this study simultaneously — reinstate the tax provision as costless, un-charge the employees' profit share, return the terminal rate to the softer inflation target, ignore the declared dividend, and tax at the flattered effective rate — and the central still reaches only EGP 7.47, -17.9% below the price. Section 2 walks the whole stack.

WHAT A BUYER AT THE PRICE MUST BELIEVE. For the price to be fair, the cash-flow lens must reach EGP 12.49 — 127% above this model — which on the live sensitivity grids requires a PERMANENT gross margin near 12.2%, above the best single quarter this company has ever filed (10.19%), or volume growth at roughly ten times the assumed path. Section 14 derives both.

Lens	Bear	Base	Bull	Weight	vs spot
Discounted cash flow (primary)	3.05	5.50	9.64	45%	-39.6%
Relative multiples	6.39	8.14	9.88	20%	-10.6%
Normalised earnings power	4.48	5.83	7.18	20%	-35.9%
Book value and sustainable return	3.59	4.57	5.17	15%	-49.8%
WEIGHTED CENTRAL	**4.09**	**5.95**	**8.52**	**100%**	**-34.6%**

Table 1 — the four lenses and the weighted central. The bear and bull columns of the weighted row are WEIGHTED with the same 45/20/20/15 weights as the base column; the widest single lens spans 3.05–9.88 and is reported as an envelope, not as the range of the weighted estimate. Every lens base sits below the market price.

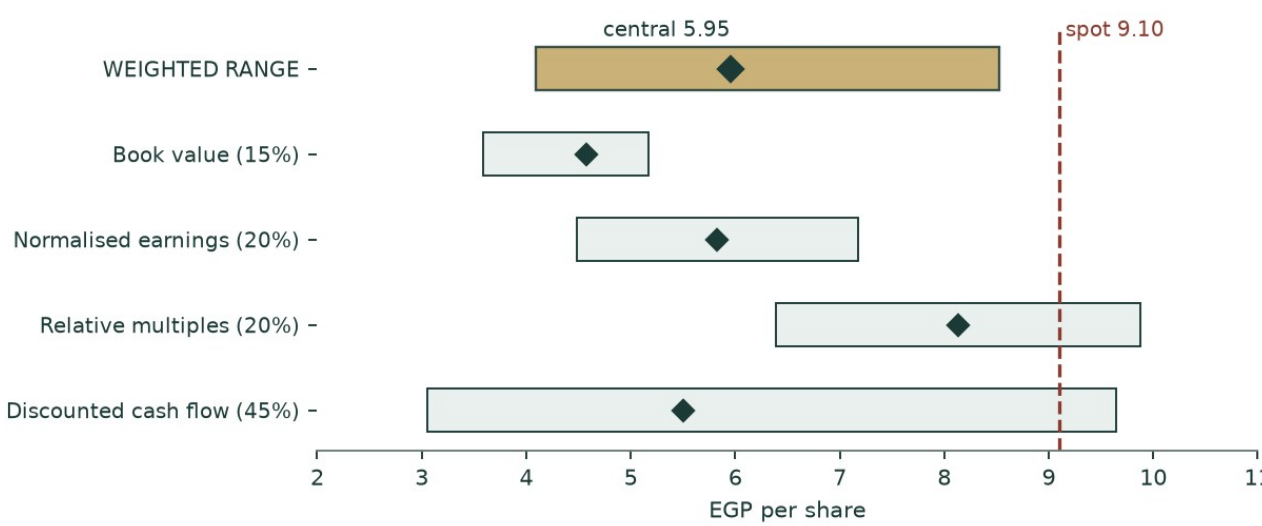

Figure 1 — the football field. The price (red dashed) sits above every lens base and above the top of the weighted range.

1 · What this study rests on — and what it does not

Three classes of number appear in this study, and every figure in it belongs to exactly one:

- **AUDITED or REVIEWED —** the audited transition-period statements for 1-Jul-2025 to 31-Dec-2025 (Crowe — Dr A. M. Hegazy & Co, unqualified opinion signed at Giza, 18 February 2026) and the reviewed statements for the three months to 31-Mar-2026, read note by note — the product table (note 14-A), the cost stack (note 15-A), the provision (note 10-1), the pledged deposits (note 9-E), dividends payable (note 11);
- **REPORTED —** the half-year results to 30-Jun-2026, disclosed to the Egyptian Exchange on 29-30 July 2026 — one week before this study's anchor date. A press release, not a filing. Half of the base year rests on it, this study says so on every page that uses it, and its gross-profit line is NOT taken at face value (section 4);
- **JUDGEMENT —** the processing-intensity weights that allocate conversion cost across the eight product lines, the zero re-rating on the company's own trailing multiple, the sustainable return in the book lens, the volume and realisation growth paths, and the equity-risk-premium basis. Each is registered, dated, sourced and priced in the sensitivity section. There are no other free parameters.

The model behind this document carries 152 registered inputs, of which 115 drive the arithmetic and 37 are quotation-only and are named as such in the workbook. A reachability gate fails the build if any input carrying a balance-sheet or profit-statement claim is registered but not used — the defect that let a EGP 921mn provision sit outside the previous edition's bridge cannot recur silently.

2 · The case for the verdict, stated adversarially

A gap of this size should not survive its own contested judgements — so the first thing this study does is give them all back. Each row below removes one charge a critic could dispute, and the last row removes all of them at once. Every row is a complete re-run of the whole model, not an add-back.

Give-back	Central	vs spot	What is being conceded
None — as published	5.95	-34.6%	the study's own reading
Tax-disputes provision costs nothing	6.56	-27.9%	EGP 921.4mn recognised in note 10-1 settles for zero
Declared dividend is not a claim	6.39	-29.8%	EGP 517.3mn payable in note 11 never leaves
Employees' profit share is free	6.16	-32.3%	the 5.3% statutory appropriation is never paid
Terminal rate on the 2028 target	6.19	-32.0%	the softer 5% inflation target replaces the 7% target in force
Effective tax instead of statutory	5.97	-34.4%	operating profit taxed at the interest-flattered 22.12%
ALL OF THE ABOVE AT ONCE	**7.47**	**-17.9%**	**every contested charge conceded simultaneously**

Table 2 — the adversarial stack. Concede everything and the price is still 17.9% above the model.

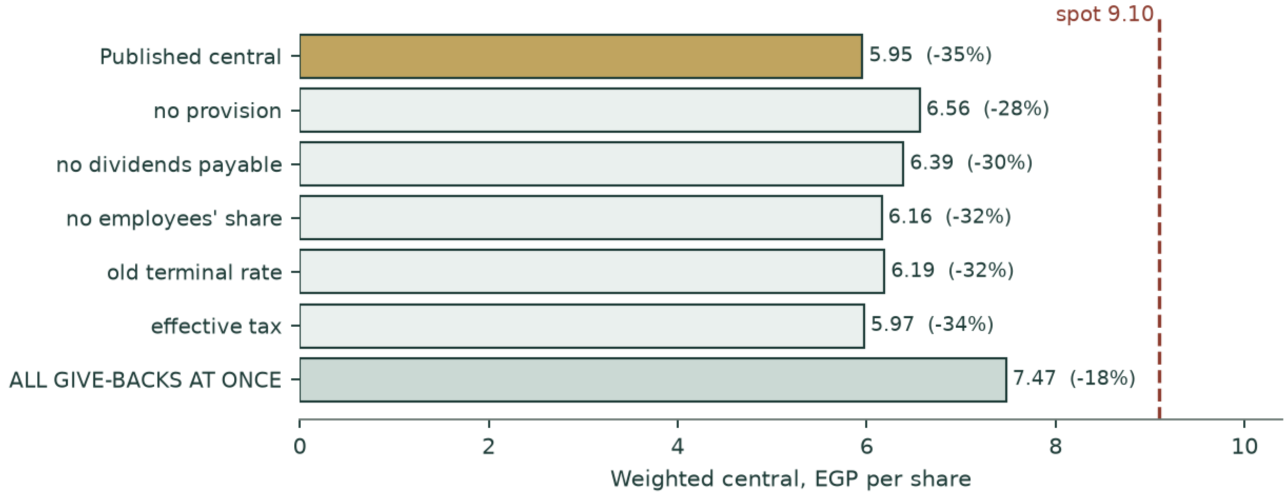

Figure 2 — the same stack drawn. No single concession, and not all of them together, reaches the price.

What remains after the give-backs is the part of the verdict that cannot be negotiated away by accounting choices: a pass-through processor earning an 9.0% gross margin, discounted at an Egyptian cost of equity of 27.8% falling to 19.1%, is worth less than 9.10 pounds a share on any internally consistent arithmetic this study can construct. The three places the case could still fail are named in section 16 — they are data this environment could not reach, not judgements it has hidden.

3 · The company, off its own filings

Alexandria Mineral Oils Company distils atmospheric residue into base and special oils, paraffin wax, gas oil, naphtha, LPG and fuel oil. Note 14-A discloses 808,084 tonnes sold for EGP 20,736mn in the transition half — eight lines, tonnes and value both stated, so realisations per tonne are disclosed arithmetic, not estimates. Raw materials are 90.7% of cost of sales (note 15-A) and 82.5% of revenue: the value of this business is the SPREAD between feedstock and slate, earned on tonnage — not the revenue line and not cost control.

Alexandria Petroleum Company holds 20.77% (the previous edition misattributed this stake to EGPC); AMOC owns 86.45% of Alexandria Wax Products, whose minority is the non-controlling interest carried through this study. The offtake is dominated by the state petroleum complex, and the feedstock relationship is administered — the margin record below is a policy record as much as a market one.

Period	Net sales	Gross profit	Margin	EBIT
6M Dec-2024	18,246	1,251	6.85%	744
3M Mar-2025	10,068	509	5.05%	247
6M Dec-2025	20,736	1,274	6.14%	486
3M Mar-2026	10,511	1,071	10.19%	643

Table 3 — the filed record, EGP mn. Four consecutive periods; the margin ranges 5.05% to 10.19%. Nothing here is modelled.

4 · The base year — twelve contiguous months, and a coherence test

The base year is the TWELVE months to 30 June 2026: the audited transition half plus the half disclosed to the exchange on 29-30 July 2026. Revenue EGP 46,959mn, gross profit EGP

4,225mn, margin 9.00%. No annualisation scalar is applied and no period is estimated. The previous edition argued no clean twelve-month period existed and annualised nine months by 4/3; the disclosure that refutes that argument existed a week before its anchor date, and this edition both uses it and flags it: HALF OF THIS BASE YEAR IS REPORTED, NOT AUDITED.

4.1 The released gross profit fails its own release, and is rejected

The release states gross profit of EGP 3,258mn for the half. Run through the company’s own first-quarter expense run rates, that figure implies profit after tax of EGP 2,142mn — 12.6% ABOVE the EGP 1,903mn the same release reports. At least one of the two released lines is wrong, and two independent tests say it is the gross profit: the reported profit ties to the AUDITED statement of changes in equity within 1.2% (the release’s "+109%" against the audited Jan–Jun-2025 majority profit), and the reported revenue ties to an independent triangulation within 0.2%. The gross profit this study uses, EGP 2,951mn, is therefore SOLVED from the release’s own profit line. The workbook shows the whole solve on the Base Year sheet, in live formulas.

4.2 One period, both sides of the margin

Every operating line — administrative, selling, other, provisions, depreciation, capital expenditure, credit interest, the employees’ profit share — is struck on the SAME twelve months as revenue and cost of sales. The previous edition built revenue from the six-month product table doubled while annualising cost from nine months by 4/3; its base margin of 7.081% corresponded to no filed period. One period, both sides, or the margin is an artefact of the scalars. The nine-month annualisation is retained beside the headline base as the fully-audited alternative: revenue 41,662mn at 7.51% — the +12.7% gap between the two bases is a real uncertainty about this company and is disclosed, not averaged away.

5 · The bottom-up build — eight lines, both sides of the margin

Revenue per line is tonnes × realisation, both disclosed in note 14-A; the only free scalar is one solved index that foots the eight lines to the twelve-month revenue. Cost per line is feedstock plus conversion:

- **CONVERSION —** conversion (salaries, supporting materials, other, depreciation — the non-feedstock 9.3% of note 15-A) is allocated on registered processing-intensity weights: base oils 1.00 as the reference through the full lube train, wax 1.15 for deoiling and sweating, the light ends 0.15–0.25, residue fuel oils 0.05;
- **FEEDSTOCK —** feedstock is then allocated on NET REALISABLE VALUE — realisation less that line’s own conversion — the standard joint-product method. Two rejected alternatives are documented in the workbook: flat-per-tonne makes fuel oil sell below the cost of its own feed, and relative-sales-value makes the products this plant was built for loss-making. NRV is the only basis of the three that leaves every disclosed line with a positive spread.

Line	Tonnes 6M	Realisation EGP/t	Cost EGP/t	Spread EGP/t	Margin
Base and special oils	54,969	53,502	49,320	4,182	7.8%
Paraffin wax	41,774	55,349	51,147	4,202	7.6%
Gas oil	171,685	33,779	30,728	3,051	9.0%
Naphtha	41,431	26,203	23,843	2,360	9.0%
Liquefied petroleum gas	23,736	38,940	35,274	3,666	9.4%
Fuel oil (mix)	460,154	22,086	19,969	2,117	9.6%
Heavy fuel oil	14,328	17,712	16,024	1,687	9.5%

Table 4 — per-line economics of the base year. A tonne of base oil contributes 2.0× the spread of a tonne of fuel oil; the specialty slate (oils and wax) is 12.0% of tonnage and 22.4% of value. The eight per-line costs rebuild the disclosed cost of sales exactly — the footing test is a live cell in the workbook.

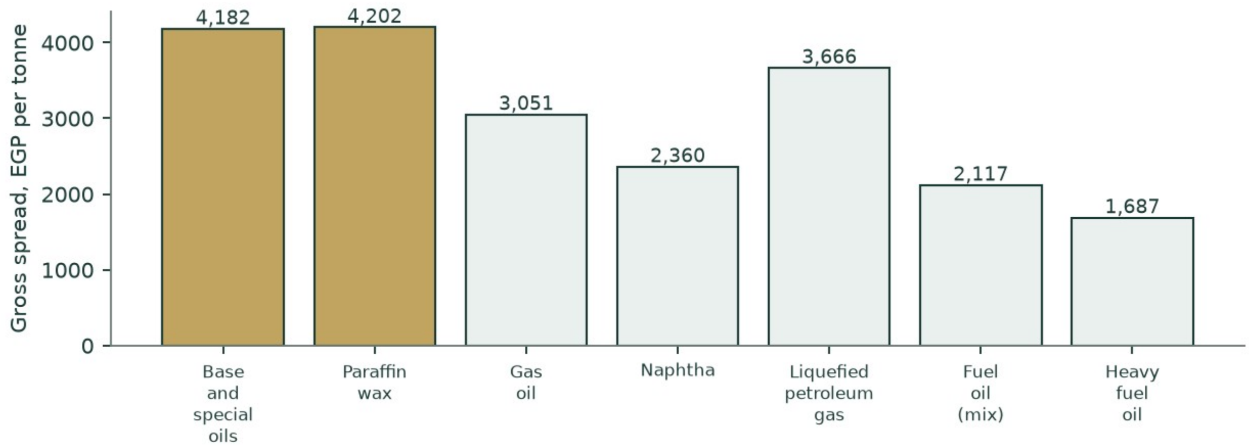

Figure 3 — gross spread per tonne by line (gold = specialty slate). This is the number a blended-margin build cannot produce: mix now moves the margin.

THE ONE OPERATING INPUT NOT READ OFF A FILING: note 15-A discloses the cost stack for the company, not by line, and any weight derivable from note 14-A alone is a function of price — which would return the same margin on every line, the defect this build exists to remove. The intensity vector is therefore an engineering judgement, registered and dated like every other input, and the valuation's sensitivity to it is bounded: it redistributes cost BETWEEN lines while the company total is pinned to note 15-A, so it moves the mix effect, not the base-year total.

6 · The forecast — margin as an output

	2026E	2027E	2028E	2029E	2030E
Revenue	52,841	58,432	63,773	68,952	73,978
Gross profit	4,550	4,784	4,957	5,105	5,181
Gross margin	8.61%	8.19%	7.77%	7.40%	7.00%
Operating expense	2,008	2,276	2,546	2,808	3,082
EBITDA	2,542	2,508	2,412	2,297	2,098
EBIT	2,368	2,319	2,205	2,072	1,855
NOPAT (statutory tax, after profit share)	1,739	1,702	1,619	1,521	1,362
Capital expenditure	281	307	329	351	375
Depreciation (rolls off the register)	174	189	206	224	244
Δ working capital	288	276	265	258	253
FREE CASH FLOW TO THE FIRM	**1,343**	**1,308**	**1,231**	**1,137**	**978**

Table 5 — the waterfall, EGP mn. The margin is an OUTPUT of eight per-line builds: feedstock moves with realisation (pass-through), the pound-denominated conversion legs move with local inflation, and the company margin is whatever the mix produces.

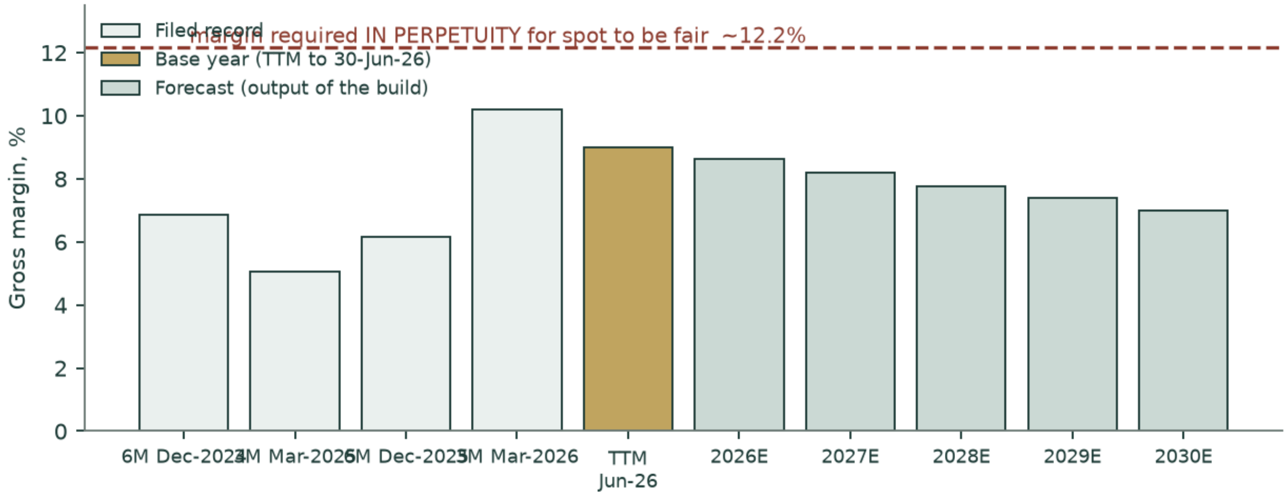

Figure 4 — the filed margin record, the base year, the forecast, and (red) the margin a buyer at the current price needs in perpetuity.

Operating expense charges the three disclosed lines on three drivers (administrative on inflation, selling on inflation and tonnage, other on inflation) PLUS two charges the previous edition registered and never took: formed provisions and expected credit losses at the filed run rate, and the employees' profit share and board bonuses at 5.3% of profit after tax — a statutory appropriation, solved from the disclosed charge, that reaches neither the shareholder nor the tax line.

Capital expenditure is BUILT, not extrapolated: maintenance at gross cost over the implied 18.1-year asset life (EGP 151mn a year before inflation) plus growth at the plant's own capital intensity of EGP 1,948 per annual tonne — so incremental volume costs capital instead of arriving free. Depreciation rolls off the growing asset register rather than being held flat. Working capital runs on days SOLVED from the audited balance sheet (24.3 inventory / 7.3 receivable / 13.1 payable), with the EGP 517mn of declared dividends REMOVED from payables: a distribution is a financing claim, not operating funding.

7 · The cost of capital

Component	Explicit window	Terminal	Construction
Risk-free	22.31%	12.50%	Egypt 10Y local currency; terminal = CBE target IN FORCE (7%) + 5.5% real — DERIVED, not set by hand
Sovereign spread removed	−3.40%	—	netted so country risk is not counted in both the rf and the ERP
Equity premium × beta	9.41% × 0.940	7.00% × 0.940	own-stock weekly regression, n=257, R^2=0.31, 90% CI [0.80, 1.08]
Cost of equity	27.76%	19.08%	
WACC	31.58%	18.34%	net-cash weights: the negative debt weight RAISES the operating rate above the cost of equity, correctly penalising the unlevered assets

Table 6 — the discount-rate stack. The rate glides from the explicit to the terminal anchor on the cost-of-debt path's own cumulative progress. The terminal risk-free is the single most terminal-value-sensitive input in the model, which is why it is now derived from the central bank target in force rather than typed: using the softer Q4-2028 target instead is priced in Table 2 (+23 piastres).

8 · The cash-flow lens and the terminal block

The explicit window discounts to EGP 3,198mn. The terminal return is struck on invested capital at REPLACEMENT cost — working capital plus the asset base at GROSS cost — giving 17.1%, against roughly 26% on net book. The plant is 67.4% written down; the book lens already haircuts the reported return for exactly that reason, and this study applies ONE view of the asset base across all lenses. Growth = return × reinvestment is enforced by assertion: at 5% growth the terminal block reinvests 29.3% of profit — ABOVE the final explicit year's 28.2%, so the terminal is funded, not flattered. Terminal value carries 44.8% of enterprise value.

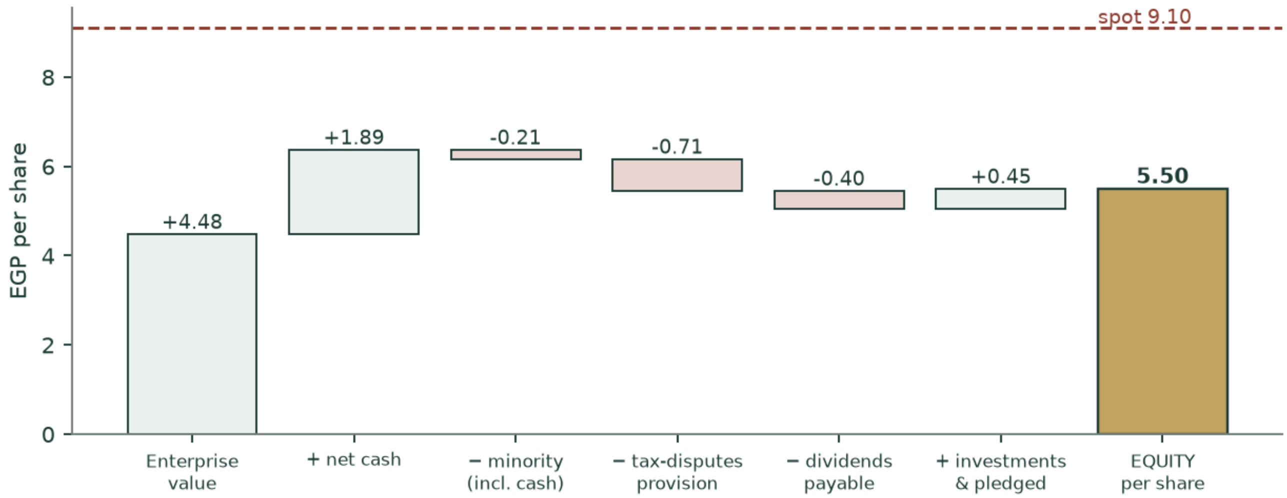

Figure 5 — enterprise value to equity, per share. Every disclosed claim is carried: the minority takes its share of the WHOLE enterprise including cash; the tax-disputes provision (note 10-1) and the declared dividend (note 11) are deducted; the pledged deposits and the ASPPC stake are added as non-operating assets.

The bridge lands at EGP 7,103mn of attributable equity — EGP 5.50 a share. Three of its five claims were absent from the previous edition's bridge entirely; setting the 921mn provision to zero moved that valuation by nothing at all. It moves this one by 71 piastres, and the model's reachability gate now fails the build if any such claim is registered without being carried.

9 · Relative multiples — on the trailing metric

The company's own trailing multiple is 3.54× enterprise value to EBITDA and 7.1× earnings. The justified multiple is DERIVED from it at a zero re-rating — the name is held at what the market already pays it — so this lens borrows nothing from the cash-flow lens: no discount factor, no interim add-back (both defects of the previous construction, found independently by two reviewers). At 3.54× trailing EBITDA through the same bridge, EGP 8.14 a share. This is the lens CLOSEST to the price, and the gap that remains (-10.6%) is almost entirely the disclosed claims in the bridge — which is precisely what this lens is for: at the market's own multiple, the price pays full value and then ignores the provision and the declared dividend.

10 · Normalised earnings power — separated and discounted

2028E OPERATING profit only, taxed at the statutory 22.5%, after the profit share and the minority: EGP 1.213 a share. At 7.5× that is a MID-2028 value, so it is discounted 2.4 years to the valuation date at the cost of equity (27.76%), and net cash less the provision and the declared dividend is added at FACE outside the multiple: EGP 5.83. The previous construction capitalised credit interest at an operating multiple — valuing a bank deposit as if it were the refinery — and left the 2028 number undiscounted while the sibling lens discounted; both defects are closed.

11 · Book value and sustainable return

Justified price-to-book of 1.23× = (sustainable return 28% less growth) over (cost of equity 23.66% less growth), on book value of EGP 3.71: EGP 4.57. The rate is the present-value-weighted average of the SAME cost-of-equity glide the cash-flow lens uses — not the terminal rate alone (which gave the previous edition 6.06) and not the explicit rate alone (3.75). The sustainable return is struck below the trailing 32.6% because the asset base is 67.4% written down — the same haircut the terminal block now carries.

12 · Synthesis

Weights 45/20/20/15 — cash flow primary for a single-asset processor with a visible volume ramp, the market and earnings lenses secondary, book least. Weighted central EGP 5.95; weighted range 4.09–8.52; envelope 3.05–9.88. The price exceeds the weighted range and every lens base. It is inside only the DCF bull tail — five favourable driver moves at once.

13 · Sensitivity — every row a full re-run, gated

Driver (DCF lens, EGP/share)			base		
Gross margin, shifted on every forecast year (-1.0% … +1.0%)	3.53	4.51	5.50	6.49	7.47
Volume growth path, as a multiple of the assumed path (0.00x … 2.00x)	4.83	5.16	5.50	5.85	6.22
Realisation path, as a multiple of the assumed path (0.90x … 1.10x)	4.66	5.08	5.50	5.93	6.36
Beta (0.6000 … 1.3000)	6.33	5.81	5.50	5.11	4.87
Working-capital cycle, as a multiple of the solved days (0.50x … 1.50x)	6.58	6.04	5.50	4.96	4.42
Terminal growth (3.0% … 7.0%)	5.48	5.49	5.50	5.51	5.52

Table 7 — six drivers, five points each, thirty complete model re-runs. Every grid is sorted, every row reproduces the base case at its own base point, and every row is monotone — all three properties are ASSERTED in the build after the previous edition published three rows that failed them. In the workbook each of these cells is a live formula block, not a pasted value.

Two readings matter. Terminal growth is almost inert (5.48 to 5.52 across 3–7%) because the reinvestment identity funds growth before crediting it — a model where that row is steep is a model crediting growth for free. And the gross margin row is the whole thesis: ±0.5pp moves the DCF lens by about EGP 0.99, which is why the case in section 2 is built to survive the margin being wrong by more than the entire filed record's range.

14 · What a buyer at EGP 9.10 must believe

Inverting the model at the current price, holding everything else at its published value:

- **REQUIRED LENS —** the cash-flow lens must reach EGP 12.49 against this model's 5.50 — a 127% uplift;
- **AS MARGIN —** on the margin grid that requires roughly +3.6 percentage points of gross margin on EVERY forecast year and in perpetuity — a permanent ~12.2% against a four-period filed record of 5.05–10.19% whose best single quarter is 10.19%;
- **AS VOLUME —** or, on the volume grid, roughly ten and a half times the assumed volume-growth path — a plant adding capacity it has not announced and the capital build would have to fund;

- **NOT VIA THE RATE —** beta cannot get there: even at 0.60 the lens reaches only 6.33. Nor can terminal growth, at any rate that the reinvestment identity permits.

The one belief that WOULD close the gap honestly is the released H1-2026 gross-profit line taken at face value — and section 4.1 shows that line contradicts the profit printed in the same release by 12.6%. A buyer at the price is, in effect, trusting the one number in the disclosure that fails its own internal arithmetic.

15 · The price path — a separate object from fair value

The calibrated Monte-Carlo cone (carry-anchored YZ-HAR-t, 50,000 paths, ν=6.0, width calibration 0.951, name-level verdict PARITY, market gate PASS) prices the PATH of the market price, not its fairness: 1-month median 9.17 (p5–p95 7.71–10.91), 3-month median 9.33 (6.90–12.60). The drift is the carry — ln(1+rf) − ln(1+dividend yield) — and nothing from the valuation is wired into it, so the cone can sit above a fair value far below it, and does. A 34.6% valuation gap is a statement about value, not a three-month price forecast.

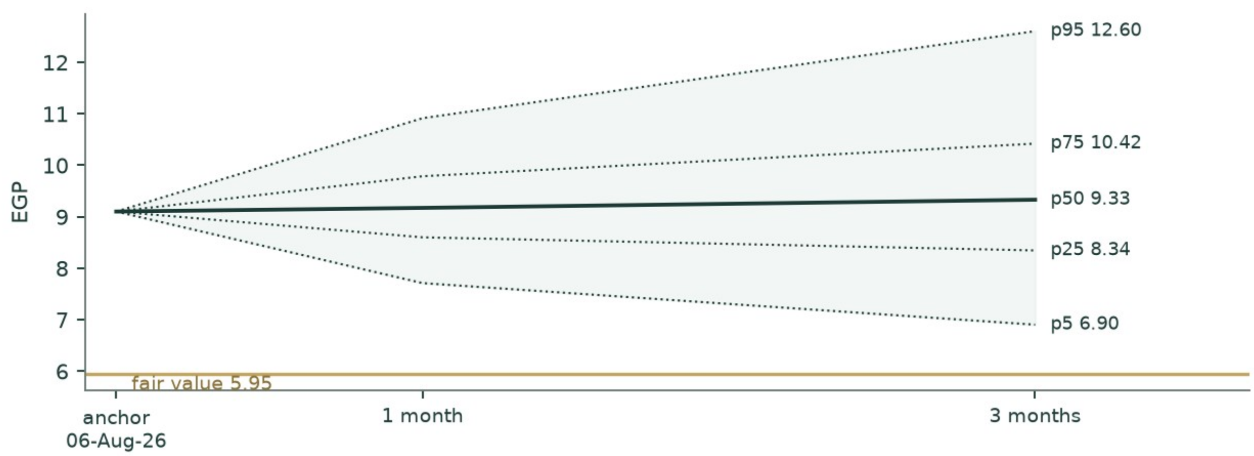

Figure 6 — the calibrated price cone against fair value (gold). The market can stay above fair value throughout the cone's horizon; the two objects answer different questions.

16 · Where this case could fail — named, priced, and open

- **THE REPORTED HALF —** the half to 30-Jun-2026 is a press release. If the audited half-year statements restate revenue or profit materially, the base year moves with them. The fully-audited alternative base (nine months × 4/3) is published beside the headline and prices the central lower, not higher — so this risk runs AGAINST the price, not for it;
- **TWO UNREAD DISCLOSURES —** two exchange disclosures were unreachable from this environment (egress blocked, seven negative results logged in the bibliography): a board FY2025/26 capital budget of ~EGP 580mn reported by one reviewer (would LOWER the central, roughly −12% at face), and a revised FY2026 operating-profit budget of ~EGP 2.1bn reported by two reviewers independently (would RAISE it, roughly +17% at face). They pull in opposite directions, neither is verified, and both are named rather than silently absent;
- **JUDGEMENT AND RATE —** the processing-intensity weights are the one operating judgement in the build; they move per-line spreads, not the company total. The Egypt 10-year at 22.31% is cited to a source that could not be re-verified from here; three reviewers place it at 22.6–23.0%, worth about half a percent on the central — the case does not turn on it;
- **THE REGIME —** the margin is administered, not competed. That cuts both ways and is the reason the adversarial stack in section 2 exists: even at the full give-back the central is

7.47, and the margin required to justify the price exceeds anything the administrator has ever granted.

VERDICT. Fair value EGP 5.95 against a price of EGP 9.10: fair value 34.6% below the price. The claim survives the simultaneous surrender of every contested judgement in the study (7.47, still 17.9% below), and the price is reachable only on a permanent gross margin this company has never printed.

BASIS AND LIMITS. Educational analysis on public filings and disclosures; not investment advice. Half the base year is reported, not audited. Two exchange disclosures material in opposite directions were unreachable and are named in section 16. The companion workbook recalculates this entire study live — 5,775 formulas, 198 pasted filing values, every formula verified cell-by-cell against the model by an independent evaluator.

PROVENANCE. Audited transition-period statements (Crowe, unqualified, 18-Feb-2026); reviewed Q1-2026 statements; EGX half-year disclosure of 29-30 July 2026; the source register with every input's value, source, date and ring is the companion bibliography.